DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

United Nations Development Programme

Country: Viet Nam
Initiation Plan

Project Title:	Green Investment and Development of Green Bankable Projects by SMEs
Expected UNDAF/CP Outcome(s):	UN Cooperation Framework Outcome 2
Expected CPD Output(s):	Output 2.2: Policies and solutions designed and implemented for transformation to low-carbon development, circular economy, and environmental protection.
Initiation Plan Start/End Date:	01 November 2022 – 31 May 2023
Implementing Partner:	UNDP (DIM)

Brief Description

The initiation plan aims to prepare well-designed and structured work packages IV.1 and IV.4 that will be implemented by UNDP as part of the full 'Shifting Investment Flows Towards Green Transformation (SHIFT) project that has been approved for a first phase for further project preparation in the International Climate Initiative (IKI) of the German Federal Ministry for the Environment, Nature Conservation and Nuclear Safety and Consumer Protection (BMUV). Under Output IV of the SHIFT project: "Green investments by SMEs and other private sector actors are increased", UNDP will be leading the work package IV.1 to facilitate development and implementation of green and climate-friendly bankable projects by, and with, SMEs; and work package IV.4 to provide targeted solutions for de-risking of green investments.

Programme Period:	2022-2026
Atlas Project ID:	00147375
Atlas Output ID:	00134019
Gender Marker:	GEN2

Total resources required	EUR114,364.37
Total allocated resources:	EUR114,364.37
Regular:	
Other:	
• GIZ – Germany	EUR114,364.37

Agreed by UNDP:

DocuSigned by:
Do Le Thu Ngoc
BB8DA30824A54A3...
Do Le Thu Ngoc

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

I. PURPOSE AND EXPECTED OUTPUT

The Government of Viet Nam (GOVN) assigns high priority to pursuing green, low carbon and climate resilient development through policies, strategies and plans to respond to climate change and facilitate green growth. The current policy agenda is informed by the updated Nationally Determined Contribution (NDC); the Plan for Implementation of Paris Agreement (PIPA) (2016); the Resolution of Viet Nam's Central Committee of the Communist Party of Viet Nam on proactively responding to climate change, strengthening natural resources management and environmental protection (2013); the Conclusion of the Politburo on promoting active climate change response, strengthening natural resources management and environmental protection (2019); the Resolution of the Politburo on Orientations of the Viet Nam's National Energy Development Strategy to 2030 and outlook to 2045 (2020); Viet Nam's Renewable Energy Development Strategy to 2030, with a vision to 2050 (2015); the updated Viet Nam Green Growth Strategy (2021-2030); the National Energy Efficiency Programme (2019-2030); etc.

Viet Nam's ambitions were announced at the Conference of the Parties to the United Nations Framework Convention on Climate Change (UNFCCC)/COP26 by setting a target of net-zero carbon emissions by 2050. The COP26 commitments and targets will be translated into targets, actions and measures of the strategies and plans such as the update of the draft Power Development Plan No. VIII and the forthcoming National Climate Change Strategy. The Government also established the National Steering Committee directly led by the Prime Minister to implement Viet Nam's climate commitments at COP26 demonstrating a "whole of government approach

Although the Vietnamese government has committed to shift its economic development towards green growth, the Covid-19 pandemic has placed the economy under significant pressure while the country contends with being one of the most affected by climate change globally. Economic development is largely powered by fossil fuels (including a disproportionate role of coal) while Small and Medium Enterprises (SMEs) make up just over half of employment and 98% of businesses. Viet Nam is challenged by the private sector's role as a key contributor to economic growth while many of these SMEs lack knowledge of the technical and financial benefits of renewable energy (RE) and energy efficient (EE) technologies as well as adequate management capacity. Further, a lack of financial instruments/mechanisms highlight insufficient allocations on the part of government towards climate and green growth initiatives which can stimulate and de-risk investments. To address the business sector's limited contribution to green development and decouple economic growth from environmental degradation, there is a need to design a supportive regulatory framework for green investments, create incentive mechanisms to shift financial flows towards green projects, develop green financial products and services, establish green investment schemes, raise awareness about green investment opportunities, and exploit co-benefits to enable a just transition.

The country project "Shifting Investment Flows Towards Green Transformation (SHIFT)" is a joint proposal that has been approved for a first phase for further project preparation in the International Climate Initiative (IKI) of the German Federal Ministry for the Environment, Nature Conservation and Nuclear Safety and Consumer Protection (BMUV) based on its pre-selection review in the "Country Call 2020" ideas competition. SHIFT will be implemented in Viet Nam and consist of 5 Outputs to support the rapid and broad deployment of green and climate friendly technologies and practices in Viet Nam by enhancing know-how and capacities of relevant stakeholders, especially the private sector, favourable policy frameworks and the availability of financing. The project will improve green policy and investment frameworks for enhanced climate action in Viet Nam, especially in the energy sector. It addresses both supply and demand aspects of green investment, creating a positive feedback loop that will drive the transition towards a green and climate friendly economy.

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

The adoption of a bottom-up approach is expected to support private sector development and actions, as the means to implement the green and sustainable development policies

II. STRATEGY

Under Output IV of the SHIFT project: "Green investments by SMEs and other private sector actors are increased", UNDP will be leading the work package IV.1 to facilitate development and implementation of green and climate-friendly bankable projects by, and with, SMEs; and work package IV.4 to provide targeted solutions for de-risking of green investments.

To prepare well-designed and structured work packages IV.1 and IV.4 as part of the full SHIFT project proposal approximately a 07 month preparation phase is required. UNDP Viet Nam will contribute to the preparation phase with focus on work package IV.1 and IV.4, including the in-country mission(s), design of the work packages and contribution to the full project proposal, and transition phase activities, with its institutional knowledge and experience on green policy, energy and investment frameworks as well as its historical partnership-based experience in Viet Nam.

The project preparation phase will have three main objectives: firstly, development of UNDP's work packages: WP IV.1 and WP IV.4, and contribution to the full project proposal, including participating to the formulation of the project log frame and relevant indicators and targets. These contributions will be based on information gathered during the consultations with all relevant stakeholders from the government and the business sector, and will meet the high quality standards required by BMUV-IKI; secondly, selection of types of technology, technological solutions, SMEs, and financial institutions. This will also require definition and formalization of their roles during the project implementation; and thirdly, assessment of the potential demand for new and green energy sources/carriers (i.e., hydrogen and/or ammonia produced by green and sustainable processes) to identify policy gaps and technological applications aiming at enhancing supply and demand for these new and green energy source/carriers for potential intervention by SHIFT project.

The approach that UNDP will adopt for this project preparation phase is built on standard procedures that have been successfully utilized for the formulation of numerous project proposals. This methodology includes the following tasks/deliverables that collectively will lead to the project preparation phase objectives:

- Engagement of national and international experts who will be responsible for the achievement of the three objectives stated above.
- Close consultation with relevant government agencies (Ministry of Planning and Investment, Ministry of Industry and Trade, Ministry of Construction, Ministry of Transport, and Ministry of Agriculture and Rural Development), Ministry of Finance, SMEs, financial and funding institutions, etc.
- Review of policies and assess capacities of participating organizations/institutions to identify gaps and needs for improvement, and to introduce new policy, build capacity, and create enabling environment to promote low emission development activities, circular economy, and improved resources use efficiency.
- Contribution to the preparation and conduction of in-country field mission(s) and key stakeholder consultations. (To minimize the environmental impact due to travelling, particularly for international experts, and to cope with the potential restrictions in place to contain the spreading of the Covid-19 pandemic, whenever possible video and teleconferences will be preferred to in presence meetings. When applicable, virtual meetings will also be the preferred mean of communication with other members of the consortium.)
- Design of approach and questionnaires for interviews and consultation with ministries, authorities and institutions; and design of data collections tools (i.e., surveys and/or questionnaires) and their administration to SMEs and financial institutions.
- Analysis of the information and data collected to identify the gaps and needs to fill.

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

- Design of criteria for selection of participating SMEs; work with these to identify the opportunities to introduce and implement measures to enhance energy efficiency, renewable energy use, improve resources use efficiency, and stimulate circular economy.
- Design of criteria for selection and partnership with financial institutions and work with them to identify the areas of collaboration and define their roles and participation in the project.
- Detailed design and description of gender-responsive and environmentally- sustainable activities that will be carried out during the project implementation phase, specifically for the two UNDP-led work packages, WP IV.1 and WP IV.4.
- Completion of reports assessing gender inclusion as well as social and environmental impact of the project activities for the two UNDP-led work packages.
- Assessment of linkages and enabling synergies between the two UNDP-led work-packages and other work-packages, i.e. III.1, III.2, IV.2 and IV.3
- Organization of a validation workshops to get feedbacks for finalization of the design of the two work packages.
- Review and provision of inputs and comments to the draft full SHIFT project proposal.
- Address all questions and comments that BMUV's reviewers might raise concerning UNDP's contributions to the full project proposal and the designed project activities.

III. EXPECTED OUTPUTS

The project preparation phase is scheduled tentatively from November 1, 2022 until May 31, 2023. The activities that will be carried out during this period can be categorized into four consecutive phases, which are:

(i) Phase I: Procurement of the national and international experts and contribution to organizing of the in-country field mission(s).
(ii) Phase II: Participation to field mission(s), data collection and analysis, and project formulation. During this phase, implementing partners and key stakeholders, from both public and private sectors (i.e., SMEs and financial institutions), will be identified and engaged and their roles will be detailed and formalized.
(iii) Phase III: Preparation of project proposal contributions, specifically WP IV.1 and WP IV.4, and their subsequent review, finalization and submission.
(iv) Phase IV: Transition phase and carrying out of project implementation preparatory measures.

Specific Contribution to the Preparation Phase

During the project preparation phase, UNDP will carry out the following activities:

- Engage national and international experts to perform the tasks described in Section 3.3 below.
- Contribute to the technical and logistical organization of in-country field mission(s) and consultations with relevant stakeholders from the government and the private sector.
- Participate to the in-country field mission(s) with UNDP staff and hired experts undertaking field visits and stakeholders consultations. International experts might be connected through video and teleconferences.
- Confirm the Government of Viet Nam's (GOVN) priorities and ambitions regarding extensive implementation of low-carbon and environmentally sustainable technologies and subsequent curbing of greenhouse gases (GHG) emissions.
- Assess in details gaps and needs for SMEs, including women-led enterprises, concerning: a) adoption of, and investments in, renewable energy (RE) and energy efficiency (EE) technologies; and b) existing financing mechanisms, de-risking facilities, and loan guarantee instruments to determine specific interventions. *These assessments, as well as the confirmation of GOVN priorities stated in the bullet point above, are deemed critical because the SHIFT Project Concept was submitted to BMUV during the first half of 2020 and since then significant changes have occurred particularly due to the outbreak of the Covid-19*

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

pandemic, as well as the increased climate change mitigation ambitions pledged by GOVN during COP26.

- Analyze the data and information collected during the field mission(s) and stakeholder consultations to select participant SMEs and financial institutions; share results with consortium members and other relevant stakeholders.
- Define and detail the roles of government partners as well as selected SMEs and financial institutions during the project implementation phase and secure letter of intent from each partner, institution and enterprise.
- Complete the project proposal and the budget relative to the two UNDP-led work packages (WP IV.1 and WP IV.4).
- Participate to the development of the project log frame for the full proposal, including indicators, target values, means of verification, risks and assumptions, and timelines.
- Contribute, for the two UNDP-led work packages, to the preparation of gender analysis report and social and environmental safeguard report. All UNDP led activities will be designed gender inclusive and environmentally sustainable.
- Review and provide comments to the full SHIFT project proposal and budget, including inputs from other members of the consortium, and support the submission of the full proposal package for signature of Grant Agreement.
- Contribute to the development and establishment of a sharing platform and communication channels for exchanging information with the consortium members and with relevant stakeholders.
- Participate to refining both steering and project management structures (including roles and responsibilities amongst consortium members and local and national implementing partners).
- Support the definition of governance mechanisms and operational frameworks of the project, with its operational guidelines.

Contracting / Engaging with Partners / Stakeholders

The UNDP programme analyst, together with the overall project coordinator and the project coordinators of the other members of the consortium, will contribute to the organization and management of the inception meeting. Implementing partners and all relevant stakeholders will partake of the meeting primarily to introduce the SHIFT project and prepare the in-country field mission(s).

The design of the SHIFT project activities will comprise a thorough review of all past, ongoing and planned projects in areas related to the two UNDP-led work packages. This propaedeutic step will allow to build on and possibly create synergies with these other relevant projects and also to avoid duplication of work. Examples of such projects include: a) the GEF-funded “Strengthen Viet Nam’s capacities to manage data flows and report information adequately to fulfill the enhanced transparency framework of the Paris Agreement requirements” project that UNDP will implement in partnership with MPI and MONRE (04/2022-03/2026); and b) the BMZ/EU-funded “Accelerating Private Sector Engagement in Climate Resilient and Low Emission Investment Opportunities in Viet Nam’s NDC” project that UNDP is implementing in partnership with MARD (08/2019-12/2022).

During this project proposal preparation phase, UNDP together with the engaged national and international experts will produce several data collection tools (i.e., surveys and/or questionnaires for the selection of SMEs and financial institutions who will participate in the project implementation phase) and documents (i.e., data collected analysis; gender analysis and social and environmental impacts of the activities designed to deliver the two UNDP-led work packages, specifically WP IV.1 and WP IV.4) that will be used for the completion of UNDP contributions to the SHIFT project proposal. This information will be shared by UNDP with the consortium members and all relevant stakeholders in a timely manner.

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

UNDP will also establish and maintain two-way communication channels with implementing partners and key stakeholders from the government agencies, financing institutions and the private sector/SMEs, in addition to the consortium members. These communication channels will allow UNDP to inform about the progress made and concomitantly stay up-to-date with the advancement made by all project partners; allowing, whenever possible, to creating synergies among the work packages of all members of the consortium.

UNDP Participation within the Preparation Phase

UNDP will participate to the project preparation phase with its own staff members who will manage and implement the project preparation process:

Head of climate change and environment Unit (6% of time on average): who will provide strategic inputs to the project management and design.
Programme Analyst (Estimated 40% of time on average) who will manage and coordinate the project preparation process with the consortium partners, stakeholders and among consultants. The programme analyst will also provide inputs and review of the Programme Management Structure and UNDP designed work-packages and the overall proposal programme proposal.
Programme Associate (Estimated 35% of time on average): who will be responsible for all the administrative, operational and financial transactions during the preparation and transition phase and support the organization of the meetings, workshops and travels.

In addition, UNDP will engage the following national and international experts1 to contribute to the completion of UNDP's tasks and deliverables:

International Consultant/Team Leader (Estimated 40 person-days under the coordination of UNDP Viet Nam): the team leader will be responsible for supporting UNDP's lead of Output IV formulation and coordinating and contributing to the development and finalization of the two UNDP-led work packages (WP IV.1 and WP IV.4) and all related documents. Main tasks of the team leader will include: a) guidance to all national experts for the preparation of the data collection tools, and lead/support stakeholders consultation and documents review; b) contribute to the design of data collection tools for the SMEs and financial institutions (i.e., surveys and/or questionnaires); c) support the national experts during the field mission(s) and stakeholders consultation; d) participate with national experts to the analysis of the collected data and selection of participating SMEs and financial institutions; e) supported by the national experts, prepare the activities to deliver the two UNDP-led work packages as inputs to the full SHIFT project proposal, and participate to the preparation of the SHIFT program log frame and related indicators and targets; f) interact with other members of the consortium responsible for work packages linked and interconnected with WP IV.1 and WP IV.4 (UNDP-led) to create synergies; g) upon request from the overall SHIFT project coordinator review and provide comments to the inputs from the other members of the consortium; and h) provide written responses to comments from the BMUV reviewers relative to the two UNDP-led work packages.

National Green Finance Expert (Estimated 30 person-days): under the guidance and supervision of the team leader, the expert will: a) support the team leader for the development and finalization of the two UNDP-led work packages; b) review background documents and reports, and participate to the organization of the field mission(s) and stakeholders consultation, particularly financial institutions; c) contribute to the design of data collection tools for the financial institutions (i.e., surveys and questionnaires); d) collect data and information during the field mission(s) and stakeholders consultation; e) analyze the data and information collected and select the participating financial institutions; f) provide written inputs for the preparation of the UNDP-led work packages; g) support the team leader in interacting with other members of the consortium responsible for work packages

[1] Detailed tasks and deliverables expected for each expert are specified in the TORs prepared for the procurement process.

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

linked and interconnected with WP IV.1 and WP IV.4 (UNDP-led) to create synergies; and h) contribute to the preparation of written responses to comments from the BMUV reviewers.

National Energy Consulting Firm (Estimated 150 person-days): under the guidance and supervision of the team leader, experts from the consulting firm will: a) support the team leader for the development and finalization of the two UNDP-led work packages; b) review background documents and reports, and participate to the organization of the field mission(s) and stakeholders consultation, particularly with government agencies and SMEs; c) Review policies to identify gaps and needs for improvement, and to introduce new green policies, build capacity, and create an enabling environment to promote low carbon emissions development activities, circular economy, and improve resources use efficiency; d) contribute to the design of data collection tools for the SMEs (i.e., surveys and questionnaires); e) collect data and information during the field mission(s) and stakeholders consultation; f) analyze the data and information collected and select the participating SMEs; g) provide written inputs for the preparation of the UNDP-led work packages; h) support the team leader in interacting with other members of the consortium responsible for work packages linked and interconnected with WP IV.1 and WP IV.4 (UNDP-led) to create synergies; and i) contribute to the preparation of written responses to comments from the BMUV reviewers.

Safeguards Specialist (Estimated 10 person-day): under the guidance of the team leader, the safeguard specialist will: a) review the proposed design of the work-packages IV.1 and IV.4, the full project concept and draft project proposal and undertake environmental and social risk analysis to define safeguard risk category of the work-package as part of the whole project proposal; and b) depending on the assigned risk category propose safeguard measures that will be undertaken during the project implementation phase.

IV. MANAGEMENT ARRANGEMENTS

The initiation plan will be delivered under a direct implementation modality. Activities will be implemented by the Climate Change and Environment Unit (CCEU), under the direct supervision of the Assistant Resident Representative, Head of CCEU and the overall programme management of the UNDP Deputy Resident Representative.

The implementation of the initiation plan will engage closely with relevant ministries and agencies including Ministry of Planning and Investment (MPI), Ministry of Trade and Industry (MOIT), Ministry of Agricultural and Rural Development (MARD), ministry of Transport, Vietnam Chamber of Commerce and Industry (VCCI), and other related institutions and organisations.

V. MONITORING

The Assistant Resident Representative, Head of Climate Change and Environment Unit, will be responsible for overall monitoring of the initiation plan, with support as needed from the Planning, Monitoring and Evaluation Analyst.

The following table will summarise the monitoring plan for the PIP:

Monitoring Activity	Purpose	Frequency	Responsible staff
Track results progress	Progress data against the workplan will be collected and analysed to assess the progress of the PIP in achieving the results	Quarterly	Project manager
Review meeting	Internal review of data and evidence from all	After 7 months of implementation	Project manager

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

	monitoring actions to inform the formulation of the full project		
PIP report	The final review will report on results, capture the lessons learned and will include the development of the full project proposal submitted to IKI	At the final stage of the PIP / after full implementation	Project manager

DocuSign Envelope ID: C48EF861-CE97-4DBF-B379-D8A4EBE7E120

VI. ANNUAL WORK PLANS

EXPECTED CP OUTPUTS and indicators including annual targets	PLANNED ACTIVITIES List all activities to be undertaken during the year towards stated outputs	Timeframe			IP	Planned Budget					Budget Allocation	
		Q4 /22	Q1 /23	Q2 /23		Funding code	Atlas code	ATLAS Budget Account Description	Amount in EUR	Amount USD	Year 2022	Year 2023
PPG - Green Investment and Development of Green Bankable Projects by SMEs	**1. Staff (Job Title)** ***(Note: This budget line will be settled against payslips and, if partially financed, against payslips and time sheets.)***								**31,864.39**	**32,952.00**	**9,420.00**	**23,532.00**
	Head of Climate Change and Environment (6%)	X	X	X	UNDP	GIZ-Germany	61100	Salary Costs - NP Staff	5,006.66	5,178.00	1,480.00	3,698.00
	Programme Analyst (40%)	X	X	X	UNDP	GIZ-Germany	61100	Salary Costs - NP Staff	20,240.50	20,931.00	5,980.00	14,951.00
	Programme Associate (35%)	X	X	X	UNDP	GIZ-Germany	71400	Contractual Services - Individ	6,617.23	6,843.00	1,960.00	4,883.00
	2. External Services								**66,935.70**	**69,220.00**	**57,084.00**	**12,136.00**
	International Project Formulation Consultant/Team Leader	X	X	X	UNDP	GIZ-Germany	71200	International consultant	21,462.00	22,194.00	22,194.00	
	National Green Finance Expert	X	X	X	UNDP	GIZ-Germany	71300	National consultant	5,045.70	5,218.00	5,218.00	
	National Energy Consulting Firms	X	X	X	UNDP	GIZ-Germany	72100	Contractual Services-Companies	27,726.00	28,672.00	28,672.00	
	Safeguards specialist		X	X	UNDP	GIZ-Germany	71300	National consultant	6,132.00	6,341.00		6,341.00
	Consultation Workshops		X		UNDP	GIZ-Germany	75700	Training, workshop	1,752.00	1,812.00		1,812.00

	Planning and Coordination Meetings	X	X		UNDP	GIZ-Germany	75700	Training, workshop	2,628.00	2,718.00	1,000.00	1,718.00
	Translation/ Interpretation		X	X	UNDP	GIZ-Germany	74200	Audio Visual&Print Prod Costs	2,190.00	2,265.00		2,265.00
	3. Transportation / Travel Costs								**4,730.40**	**4,891.22**	**2,717.22**	**2,174.00**
	International Expert Mission to Viet Nam	X			UNDP	GIZ-Germany	71600	Travel cost	2,628.00	2,717.22	2,717.22	
	In-country travel	X	X	X	UNDP	GIZ-Germany	71600	Travel cost	2,102.40	2,174.00		2,174.00
	4. Other costs / Consumables								**1,314.00**	**1,359.00**	**359.00**	**1,000.00**
	Operation cost (printing, photocopy, stationery, etc.)	X	X	X	UNDP	GIZ-Germany			1,314.00	1,359.00	359.00	1,000.00
	TOTAL BUDGET BY ACTIVITY								**104,844.49**	**108,422.22**	**69,580.22**	**38,842.00**
	GMS (8%)					GIZ-Germany	75100	Facilities & Administration	8,387.56	8,673.78	5,566.42	3,107.36
	SUBTOTAL including GMS								**113,232.05**	**117,096.00**	**75,146.64**	**41,949.36**
	Levy (1%)					GIZ-Germany			1,132.32	1,170.96	1,170.96	
	TOTAL					-			**114,364.37**	**118,266.96**	**76,317.60**	**41,949.36**